

Price trend. The pattern does not form in a rising price trend unless it is part of a correction (retracement), usually the corrective phase of a measured move up. More often, though, the double bottom marks the end of a downtrend. The inbound price trend need not be very long, but averages about 4 months. I excluded any pattern where there was a price dip below the left bottom. The pattern should have two bottoms, not three or more.

Rise between bottoms. Usually tall patterns perform better than short ones, so look for the rise between the bottoms to be at least 10%. That's an outdated guideline, so you can allow any value you wish. I set no minimum or maximum height restriction.

Bottom low price. Look for bottoms that have almost the same low price. They need not be the same, but the median price variation is small: 1%.

Bottom separation. I allowed bottoms to be as close or as far apart as they felt comfortable, but the median was 23 days. Patterns wider than the median outperform.

Price rise after right bottom. Price should confirm the pattern. Until that time, price should not make a third bottom.

Volume. Most patterns have volume higher on the right bottom, but only 60% of the time. Heavy breakout volume has no effect on performance, either.